

Start up a Business

Chapter 02

Introduction to Business

Chapter Outline

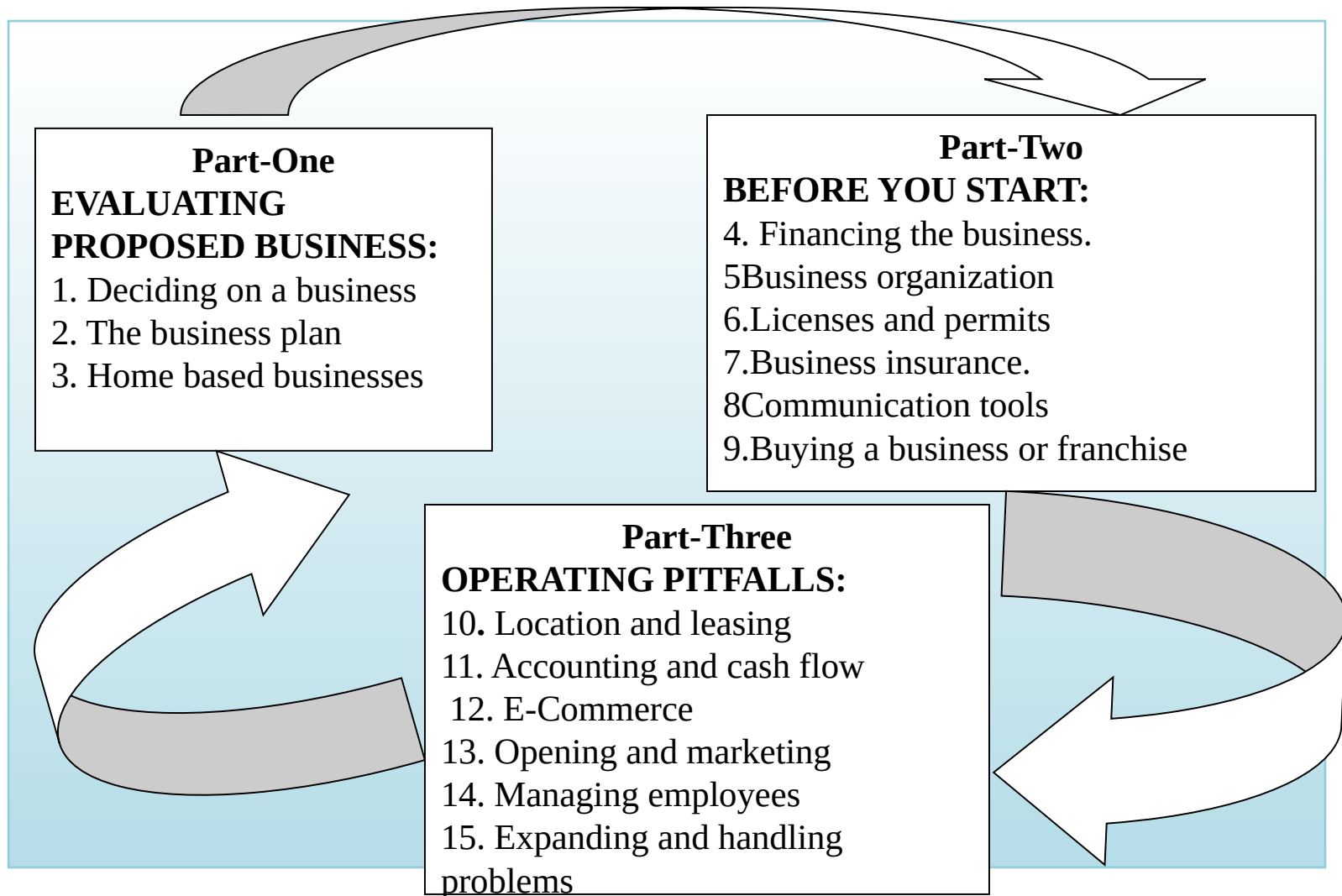
- Preliminary steps
- The road map
- Business plan
- Deciding the form and type of business
- Sources of Finance
- Acts governing business in Bangladesh

Introduction

- Bangladesh positioned 122 among 183 countries in the ranking of '**Ease of the Doing Business**' by World Bank.



Preliminary Steps to Start up Business



Business Road Map

- A business road map is a planning tool that outlines a company's goals and its strategy for achieving them.
- It has a less formalized structure than a business plan, and might take the form of a graphic, a website, a flowchart or a traditional document.

Road Map

- Phase 1: Find and develop your business idea, build a solid foundation
- **1. Direction:** Choose your business topic and define your audience
- **2. Connection:** Leverage community tools for support, friendship and accountability
- **3. Planning:** Define the problem and create a smart plan for your business
- **4. Set Up:** Name, establish and launch your business

Road Map

- Phase 2: Launch your business, earn through to support your self
- **5. Audience:** Choose an audience channel and grow your audience base
- **6. Product:** Plan and build your first small product to test your audience's interest
- **7. Money:** Launch your product and grow revenue to support yourself

Road Map

- Phase 3: Optimize and grow to increased profitability and sustainability
- **8. Growth:** A growth cycle to increase reach and revenue
- **9. Scale:** Rapidly accelerate your business growth, make it last

Start up a Business

A business may be started mainly under the following ways:

- Starting a business as an entrepreneurship
- Small business
- Home based business
- Buying an existing business
- Franchising

Entrepreneurship (New business)

- Entrepreneurs usually start with an idea, often a simple one, and then transform that idea into a sustainable business.
- Advantages:
 - 1. Innovation
 - 2. Flexible
 - 3. personal attention
 - 4. independence
 - 5. cost conscious

Small business

- Small business is one which has less capital independently owned , managed and operated.

Following factors need to be considered to start a small business:

1. Experience
2. Capital
3. Location
4. Inventory management
5. Customer demographics
6. Completion
7. Record keeping
8. Condition of business, if purchased

Starting small business

Problems of small business ownership

1. Lack of experience
2. Lack of management skill
3. Inadequate finance
4. Flaws in planning

Home based business

- It is a typical small business and found in many countries significantly as a side business by people working in offices or by people seeking self employment, taking help from family members as feasible.
- It can be:
 1. As part timer
 2. As a full time entrepreneur

Home based business

- Common pitfalls of home based business:
 1. Failure to compartmentalize
 2. Failure to limit financial risks
 3. Disregard for zoning requirement
 4. Physical limitations
 5. Work at home schemes
 6. Disagree for allowable business deductions

Buy a existing business

- Buying an existing business is less risky than starting from scratch.
- Advantages :
 1. It has already generating cash flow and profits
 2. It has an established customer base
 3. It has reputation and employees who are familiar with all aspects of business.

Franchising

Business franchising is one of the safest and most risk free ways to start up and run a successful business. Business franchises and franchising opportunities are increasing internationally.

Business Plan

- Business plan is a formal, written expression of the entrepreneur's vision for converting ideas into a profitable, going business.
- The business plan is the entrepreneur's roadmap for a successful enterprise.
- The primary value in learning how to write a business plan will be to create a written outline that evaluates all aspects of the economic viability of your business venture including a description and analysis of your business prospects.

Components of a Business Plan



Components of a Business Plan

■ Executive summary:

It generally cover:

1. The company's origins
2. The product or service and its uniqueness of competitive advantage
3. The goal and objectives of the organization
4. The market potential for the product or service
5. The management team and its track record
6. The financing required to grow the business
7. The exits strategy

Components of a Business Plan

- **Mission statement of business:**

The mission statement spell out its overall goal, provide a path, and guide decision making.

Components of a Business Plan

■ Company background

This section cover the location, function, history, size of the business. Describe the nature of the business.

Components of a Business Plan

- **Description of product or service**

This section provides a clear explanation of the product or service and its function. Photos and diagrams may be used.

Components of a Business Plan

■ Market analysis and strategy

This section covers:

1. Specific market and demand for the product
2. Who are the customers of the product?
3. Identify major competitors and their strengths and weaknesses and occupied market share.
4. Marketing strategies to reach to the customers and sell the product or service.

Components of a Business Plan

- **Competitor analysis:**

This section identify the competitors and analysis their strengths and weakness and relative position of your product or service.

Components of a Business Plan

- **SWOT analysis**
- Strength, weakness, opportunity and threat analysis uncover the opportunities that a business can exploit with the existing resources and also identify the threats that need to manage or eliminate.

Components of a Business Plan

■ Operations

This section offers a details description of how product will be produce and service will be provided. In case of manufacturing organization it will cover how to collect raw materials, what is the manufacturing process, size of the factory, work force, work flows, and volume.

Components of a Business Plan

- **Financial planning**

This section explains fund and loan needed and what business will do with this money. It provides specific amount.

Components of a Business Plan

■ Time line

A business plan, intended for circulation to investors, usually must project business operations for three years. Informal business plans can operate on shorter time frames. The core of a business plan time line is cash flow and revenue overtime.

General procedure to start up a company

- Pre registration (for example , name verification or reservation)
- Registration (under the company act)
- Post registration (for example, social security registration, company seal)

Act Governing Business in Bangladesh

- Legal environment of business comprise many laws, rules, and regulations framed under different laws. In fact business and business houses and concerned agencies are to work complying with such provision of relevant laws, rules and regulations.

Various business law regulations in Bangladesh

- General laws governing business in general
- Laws governing specific type of business houses
- Labor law
- Act relating to the consumer interest.
- Some financial acts

General laws governing business in general

- Law of contract-contract act, 1872
- The negotiable instrument act 1881
- Law relating to carriage.
- law relating to sale of goods act 1930
- Trade mark act 1940
- The arbitration act 1940
- The shop act 1965
- Customs act. 1969
- Foreign investment protection act 1980

Laws governing specific type of business houses

- **Laws governing specific type of business houses**
- Partnership act 1932
- Company act 1994
- The Bangladesh industrial enterprise order 1972
- Securities and exchange order 1969
- Banking company act 1991
- Law of insurance 1938
- The cooperative society act 1984

Labor law

- Bangladesh labor law 2006

Act relating to the consumer interest

- Essential commodity control act, 1956
- Pure food ordinance, 1959
- Essential commodity price and distribution ordinance 1970
- Drug control ordinance 1982
- standard of weights and measurement ordinance 1982
- Breast feed substitute ordinance 1984
- Tobacco marketing act 1988
- Code of criminal procedure 1860

Some financial acts

- Business profit, revenue and expenditure are being affected by some financial laws. Though these can't be termed in strict sense as laws relevant to business operations but impact cannot ignored as they affect financial performance. Such two important acts are
- Income tax ordinance 1984
- Value added tax (vat)

Organization of small business startup costs

Start up costs are included:

- Legal/paper work
- Taxes
- Professional development and education
- Transportation
- Equipment
- Marketing
- Miscellaneous

Required:

Listing groups of related business activities and then categorizing them. Find the areas where